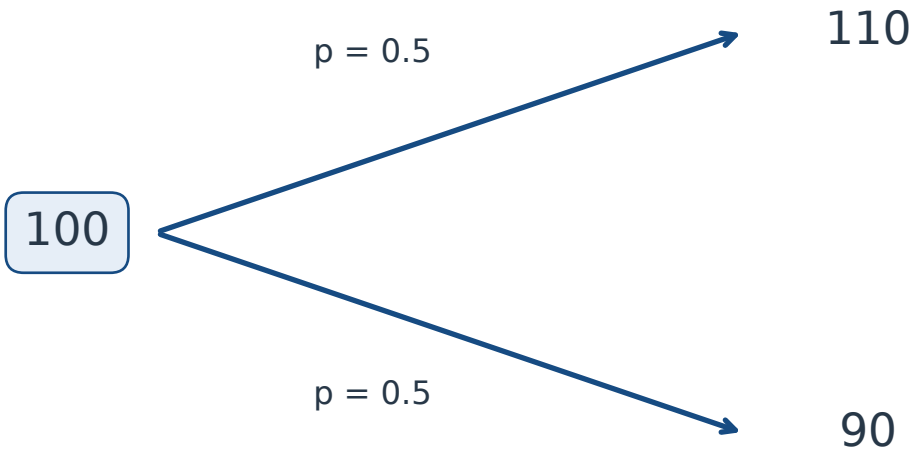
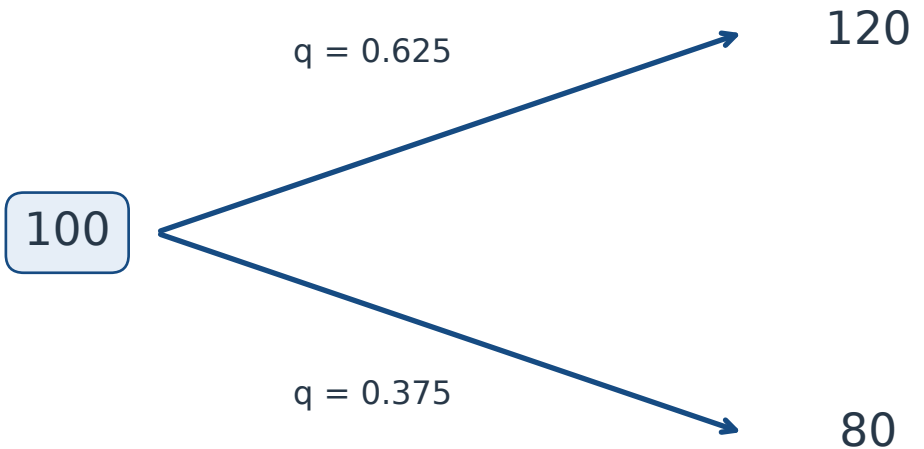
Martingale under actual probabilities



Next-value mean = 100
Expected increment = 0

Risk-neutral pricing example



Next-value mean = 105
Discounted: 105 / 1.05 = 100